# Cascadia Public Employees' Retirement System

# Performance Measurement Report

Third Quarter 2025

Prepared by Corvane Advisors

Trade Secret & Confidential

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# Portfolio Overview

Cascadia Public Employees' Retirement System ("CPERS") retained Corvane Advisors ("Corvane") as investment manager to invest and manage its real estate portfolio ("Portfolio" or "Program") in 2001. Corvane was awarded discretion over the Program beginning in 2011. Since inception, approximately $0.45 billion has been committed or approved for commitment across 14 individual investment positions — 12 funded and carried in the flash, plus 2 approved during the Quarter that had not closed by Quarter-end. The funded investments have generated a since-inception net IRR of 9.2% and a 1.44x net equity multiple.

CPERS has allocated 10.0% of total plan assets to real estate, with an allowable range of 5–20%. At Quarter-end the Portfolio's net asset value was $0.44 billion, which is **8.9% of the $4.89 billion total plan** and **89.4% of the $0.49 billion target real estate allocation**. The Portfolio seeks long-term net nominal returns in excess of the CPERS Custom Benchmark (NCREIF ODCE, net of fees), and is diversified across property type, geography and strategy.

The Portfolio returned 1.18% net of all fees during the Quarter and 4.69% net over the trailing one-year period, against 0.74% and 2.92% respectively for the benchmark.

## Investment Guidelines & Fund Statistics

| Statistic | Value |
|---|---|
| Funded investments | 12 |
| Approved, not yet closed | 2 |
| Total committed or approved | $446.8M |
| Of which funded | $391.8M |
| Market value (NAV) | $436.9M |
| Real estate as % of total plan assets | 8.9% |
| NAV as % of target allocation | 89.4% |
| Strategic / Tactical split | 85.2% / 14.8% |
| Since-inception net IRR | 9.2% |
| Since-inception equity multiple | 1.44x |

## Portfolio Managers

**Marcus Ellison**, Senior Managing Director • Marcus.Ellison@corvane.com
**Priya Raman**, Senior Principal • Priya.Raman@corvane.com
**Devin Cho**, Principal • Devin.Cho@corvane.com
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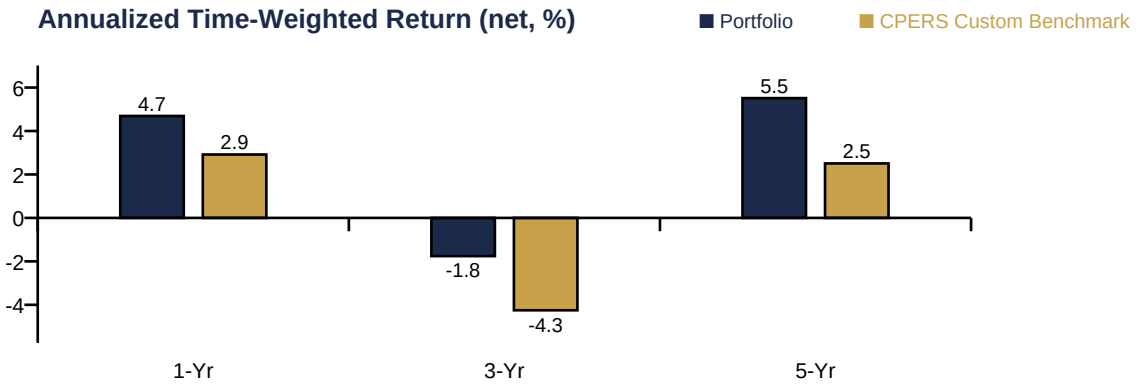
# Annualized Time-Weighted Return




The Portfolio outperformed the CPERS Custom Benchmark across the one-, three- and five-year horizons shown above, returning 4.69% net over the trailing year against 2.92% for the benchmark.

# Performance Update

The Portfolio generated approximately $3.3M of gross income and $2.9M of appreciation during the Quarter, resulting in a total gross return of 1.41% (1.18% net of all fees). The NAV of the Portfolio was $0.44 billion at Quarter-end.

### Attribution — Quarterly Dollar Contribution

| Fund | Role | Income | Apprec. | Fees | Contribution |
|---|---|---|---|---|---|
| Cornerstone Core Property Fund | Largest contributor and largest individual position | 528,000 | 1,180,000 | 160,000 | 1,548,000 |
| Kestrel U.S. Real Estate Fund | Second-largest contributor | 690,000 | 465,000 | 74,000 | 1,081,000 |
| Silverline Core-Plus Fund | Largest detractor | 185,000 | (560,000) | 118,000 | (493,000) |
| Whitfield Diversified Property Fund | Second-largest detractor | 105,000 | (285,000) | 64,000 | (244,000) |

**Cornerstone Core Property Fund** was the Portfolio's largest contributor to performance during the Quarter, adding $1,548,000, and it is also the Portfolio's largest individual position at $55.2M. **Kestrel U.S. Real Estate Fund** was the second-largest contributor at $1,081,000. **Silverline Core-Plus Fund** was the largest detractor at -$493,000, and **Whitfield Diversified Property Fund** the second-largest at -$244,000. **Redwood Logistics Trust** is the second-largest individual position at $50.9M.

# Strategic Portfolio

The Strategic Portfolio represented approximately 85.2% of the Portfolio's market value at Quarter-end and generated a 1.15% net return during the Quarter.

**Cornerstone Core Property Fund** was the Portfolio's largest contributor and largest individual position. The Fund returned 2.87% net during the Quarter on $528,000 of income and $1,180,000 of appreciation, contributing $1,548,000. Its market value was $55.2M at Quarter-end and it carried 28.6% LTV.

Three assets shaped the Quarter. Bayfront Apartments (San Diego) appreciated on rent growth and led the Fund's valuation gain, although concessions across the submarket remained elevated. Prairie Logistics (Kansas City) was held flat. One Financial Plaza (Chicago office) was carried at its prior valuation while leasing discussions on a near-term expiry continued and submarket comparables began to soften. The Manager expects income to remain the principal return driver into year-end.

Beacon Diversified Property Trust returned 1.09% net during the Quarter, with a market value of $44.5M and 28.3% LTV.

Summit Multifamily Partners returned 1.44% net during the Quarter, with a market value of $48.4M and 22.4% LTV.

**Whitfield Diversified Property Fund** was the Portfolio's second-largest detractor. The Fund returned -0.79% net during the Quarter on $105,000 of income and -$285,000 of depreciation, contributing -$244,000. Its market value was $30.7M at Quarter-end and it carried 50.4% LTV.

*No manager report was supplied for this Fund for the Quarter. Commentary is therefore limited to the flash-derived role, market value, return and dollar contribution above; no asset-level drivers are reported for the Fund this Quarter.*

**Silverline Core-Plus Fund** was the Portfolio's largest detractor. The Fund returned -0.97% net during the Quarter on $185,000 of income and -$560,000 of depreciation, contributing -$493,000. Its market value was $50.1M at Quarter-end and it carried 49.8% LTV.

*No manager report was supplied for this Fund for the Quarter. Commentary is therefore limited to the flash-derived role, market value, return and dollar contribution above; no asset-level drivers are reported for the Fund this Quarter.*

**Kestrel U.S. Real Estate Fund** was the Portfolio's second-largest contributor. The Fund returned 2.22% net during the Quarter on $690,000 of income and $465,000 of appreciation, contributing $1,081,000. Its market value was $49.5M at Quarter-end and it carried 25.5% LTV.

Income again led the result, at the highest yield in the Program. Metro Apartments (Denver) was marked up following a successful renovation programme, and the Fund's grocery-anchored retail holdings were revalued upward on a strong anchor renewal. The Manager continues to favour necessity retail and well-located residential.

**Redwood Logistics Trust** was the Portfolio's second-largest individual position. The Fund returned 0.97% net during the Quarter on $340,000 of income and $210,000 of appreciation, contributing $490,000. Its market value was $50.9M at Quarter-end and it carried 31.4% LTV.

Gateway Logistics Center (Dallas) was marked up as lease-up advanced to 95% occupancy at rents ahead of underwriting. Cedar Ridge Infill (Inland Empire) was held flat pending a planned expansion. The Manager notes that rent growth is normalising from record highs but that infill supply remains tight.

Harborview Industrial Fund returned 1.67% net during the Quarter, with a market value of $43.1M and 44.8% LTV.

# Tactical and Special Situations Portfolio

The Tactical and Special Situations Portfolio represented approximately 14.8% of the Portfolio's market value at Quarter-end and generated a 1.33% net return during the Quarter.

Tidewater Distressed Realty Fund returned 1.47% net during the Quarter, with a market value of $0.1M and 0.0% LTV.

Ironwood Value-Add Fund III returned 4.81% net during the Quarter, with a market value of $10.2M and 0.0% LTV.

Meridian Opportunity Fund V returned 0.31% net during the Quarter, with a market value of $30.7M and 42.6% LTV.

Blackford Special Situations Fund II returned 1.20% net during the Quarter, with a market value of $23.5M and 49.1% LTV.

# Recent Investment Activity

During the Quarter the Investment Committee approved 2 new commitments for CPERS. Neither had closed or funded by Quarter-end; accordingly they are reflected here as new investment activity rather than in funded holdings or performance.

### Sentinel Logistics Income Fund — $30.0M, approved September 2025

Sentinel Logistics Income Fund is a core-plus logistics strategy targeting stabilised distribution assets in primary inland-port markets, with return weighted toward current income.

### Alder Creek Multifamily Fund III — $25.0M, approved August 2025

Alder Creek Multifamily Fund III is the third vintage in Alder Creek's residential series, acquiring and renovating mid-market garden apartments in supply-constrained Mountain-West metros.

# Market Update

Core values continued to stabilise during the Quarter following the 2023–2024 repricing. U.S. private real estate funds returned **+0.8%** in the latest quarter and **+2.6%** over the trailing year, against –**3.1%** annualised over three years as the drawdown continues to roll out of the medium-term record. The Portfolio's 1.18% net quarter sits above the market's +0.8%.

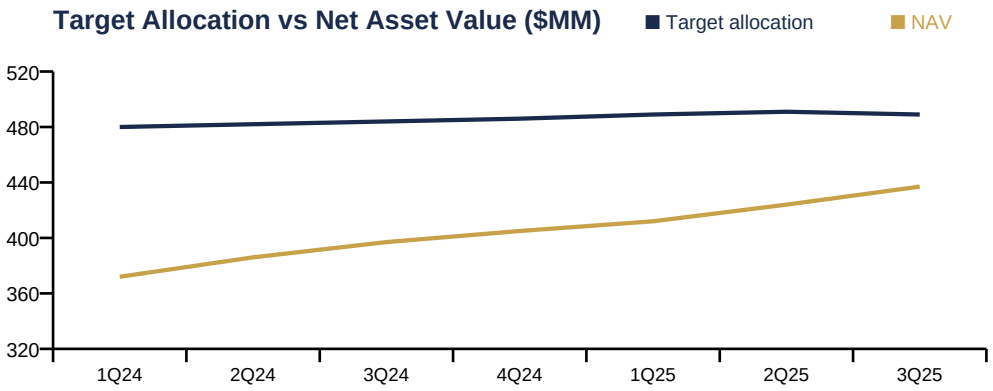
Capital markets continued to repair. The NPI valuation-weighted cap rate held broadly stable at **~4.6%** while the 10-year Treasury held at **~4.2%**, keeping the spread wider than its 2024 trough. Office remains the outlier: transaction cap rates of **~6.3%** still price above appraisal marks of **~5.6%**, and although that gap narrowed during the Quarter we continue to recommend caution on the sector.

Forecast NOI growth favours residential (**1.5%** p.a.) and industrial (**1.4%**), with office (**0.5%**) and retail (**0.3%**) trailing. Industrial has returned **3.9%** over one year and **10.6%** annualised over five. That positioning is consistent with the Portfolio's largest property exposure, Industrial at 35.4%, and its 22.9% apartment weighting. Risks we monitor include renewed rate volatility, refinancing pressure on 2020–2021 vintage debt, and slower absorption in selected multifamily submarkets.

*Market figures above are drawn from the house-view deck's exhibits and describe broad market indices. They are not the CPERS Custom Benchmark, which is a distinct client-specific series and is the basis for the return-objective test; the two are related but not interchangeable.*

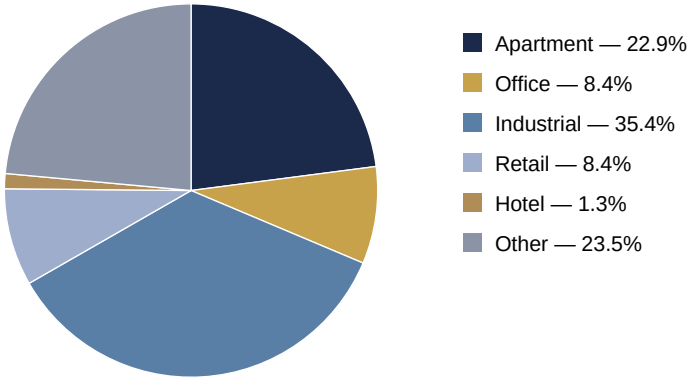
# Allocation Over Time

The Portfolio's net asset value has grown steadily over the period shown, while the target allocation has moved with total plan assets, reaching $436.9M at Quarter-end against a target of $488.9M.

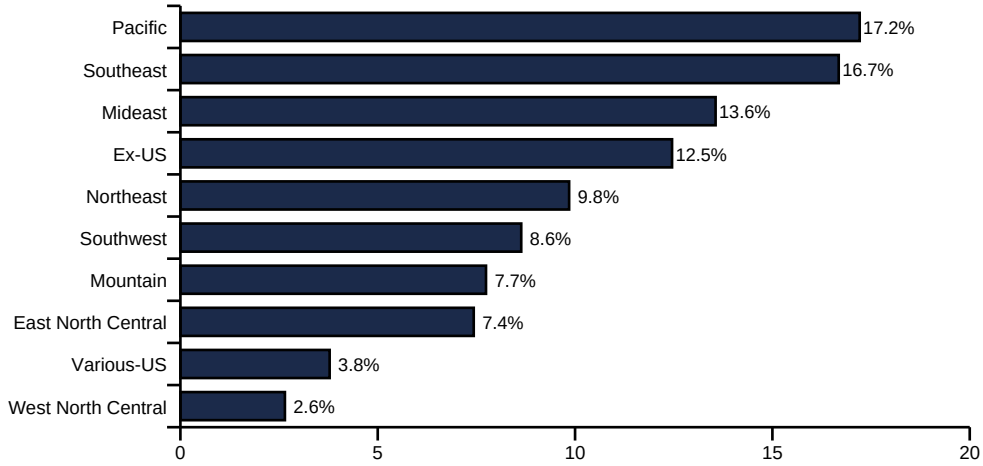


# Diversification

## Property Type Diversification




## Geographic Diversification (% of market value)




Look-through Ex-US property exposure was 12.5%. The compliance test below uses the separate fund-level Ex-US classification, 9.5%; the two measure different things — one looks through to where the underlying assets sit, the other classifies the vehicle.

## Compliance

| Guideline | Limit | Actual | Status |
|---|---|---|---|
| Style / sector concentration | <=40% per sector | 35.4% (Industrial) | In compliance |
| Location diversification | <=35% Ex-US | 9.5% Ex-US | In compliance |
| Leverage (loan-to-value) | <=50% / 75% | 34.3% strategic / 38.2% tactical | In compliance |
| Return objective | Exceed benchmark | 4.69% vs 2.92% (1-Yr) | In compliance |

Leverage is reported using the value-weighted loan-to-value subtotals for each sleeve, not an average of individual fund ratios.

## Disclosure Statements

This Performance Measurement Report has been prepared by Corvane Advisors solely for Cascadia Public Employees' Retirement System and is intended for the exclusive and confidential use of CPERS and its authorized representatives. Performance results are presented net of investment management fees, incentive allocations and fund-level expenses unless otherwise indicated, and reflect the reinvestment of income. Returns for periods of one year or less are not annualized. Time-weighted returns (TWR) are calculated using a Modified Dietz methodology; since-inception internal rates of return (IRR) and equity multiples are money-weighted and reflect the timing and magnitude of capital flows. Market values are based on the most recent valuations reported by underlying fund managers and may reflect appraised rather than transaction values. Past performance is not indicative of future results. All figures in this report are synthetic and were created solely for an evaluation exercise.

# Appendix A: Quarterly Flash Report

The exhibits below are the Third Quarter 2025 quarterly flash from which every figure in this report is derived.

## Portfolio Composition

| Total Plan Assets | Target Allocation | Market Value | Unfunded | Remaining |
|---|---|---|---|---|
| $4,889,213,650 | $488,921,365 | $436,859,357 | $7,585,950 | $52,062,008 |

## Performance Summary (%)

| | Quarter GRS | Quarter NET | 1 Yr GRS | 1 Yr NET | 3 Yr GRS | 3 Yr NET | 5 Yr GRS |
|---|---|---|---|---|---|---|---|
| CPERS Portfolio | 1.41% | 1.18% | 5.98% | 4.69% | -0.75% | -1.76% | 7.21% |

## Investment Schedule

| Investment | Vintage | Commitment | Funded | Unfunded | Returned | Market Value | % NAV |
|---|---|---|---|---|---|---|---|
| Cornerstone Core Property Fund | 2010 | $40,000,000 | $67,672,939 | $0 | $100,701,907 | $55,152,948 | 12.62% |
| Beacon Diversified Property Trust | 2011 | $40,000,000 | $41,594,404 | $0 | $48,163,654 | $44,534,756 | 10.19% |
| Summit Multifamily Partners | 2013 | $30,273,946 | $41,960,593 | $0 | $31,486,643 | $48,428,074 | 11.09% |
| Whitfield Diversified Property Fund | 2016 | $15,910,000 | $20,912,167 | $0 | $8,885,455 | $30,680,965 | 7.02% |
| Silverline Core-Plus Fund | 2016 | $60,000,000 | $69,338,036 | $0 | $41,575,168 | $50,124,792 | 11.47% |
| Kestrel U.S. Real Estate Fund | 2017 | $45,630,580 | $49,039,514 | $0 | $19,198,960 | $49,518,338 | 11.34% |
| Redwood Logistics Trust | 2020 | $40,000,000 | $41,100,937 | $0 | $4,066,721 | $50,893,041 | 11.65% |
| Harborview Industrial Fund | 2022 | $40,000,000 | $41,206,412 | $0 | $4,082,339 | $43,089,031 | 9.86% |
| Strategic Investments | | $311,814,526 | $372,825,003 | $0 | $258,160,847 | $372,421,945 | 85.25% |
| Tidewater Distressed Realty Fund | 2011 | $20,000,000 | $20,524,591 | $0 | $38,908,496 | $110,082 | 0.03% |
| Ironwood Value-Add Fund III | 2015 | $20,000,000 | $19,627,826 | $2,700,807 | $17,725,939 | $10,163,914 | 2.33% |
| Meridian Opportunity Fund V | 2020 | $20,000,000 | $41,481,787 | $2,147,890 | $27,958,273 | $30,706,443 | 7.03% |
| Blackford Special Situations Fund II | 2022 | $20,000,000 | $20,996,183 | $2,737,253 | $3,783,861 | $23,456,973 | 5.37% |
| Tactical Investments | | $80,000,000 | $102,630,387 | $7,585,950 | $88,376,569 | $64,437,412 | 14.75% |
| Corvane Initiated Investments | | $391,814,526 | $475,455,390 | $7,585,950 | $346,537,416 | $436,859,357 | 100.00% |

# Cash Activity

| Investment | Beginning MV | Contrib. | Distrib. | Withdrawals | Income | Fees | Apprec. | Ending MV | LTV |
|---|---|---|---|---|---|---|---|---|---|
| Cornerstone Core Property Fund | $54,119,948 | $0 | $515,000 | $0 | 528,000 | 160,000 | 1,180,000 | $55,152,948 | 28.6% |
| Beacon Diversified Property Trust | $46,999,756 | $91,000 | $0 | $3,050,000 | 405,000 | 91,000 | 180,000 | $44,534,756 | 28.3% |
| Summit Multifamily Partners | $48,168,074 | $0 | $430,000 | $0 | 535,000 | 95,000 | 250,000 | $48,428,074 | 22.4% |
| Whitfield Diversified Property Fund | $31,089,965 | $0 | $165,000 | $0 | 105,000 | 64,000 | (285,000) | $30,680,965 | 50.4% |
| Silverline Core-Plus Fund | $50,907,792 | $0 | $290,000 | $0 | 185,000 | 118,000 | (560,000) | $50,124,792 | 49.8% |
| Kestrel U.S. Real Estate Fund | $49,032,338 | $0 | $595,000 | $0 | 690,000 | 74,000 | 465,000 | $49,518,338 | 25.5% |
| Redwood Logistics Trust | $50,733,041 | $0 | $330,000 | $0 | 340,000 | 60,000 | 210,000 | $50,893,041 | 31.4% |
| Harborview Industrial Fund | $42,744,031 | $63,000 | $430,000 | $0 | 455,000 | 63,000 | 320,000 | $43,089,031 | 44.8% |
| Tidewater Distressed Realty Fund | $108,482 | $0 | $0 | $0 | (5,000) | 600 | 7,200 | $110,082 | 0.0% |
| Ironwood Value-Add Fund III | $9,786,914 | $0 | $92,000 | $0 | 120,000 | 31,000 | 380,000 | $10,163,914 | 0.0% |
| Meridian Opportunity Fund V | $30,610,443 | $0 | $0 | $0 | (28,000) | (29,000) | 95,000 | $30,706,443 | 42.6% |
| Blackford Special Situations Fund II | $23,511,973 | $0 | $335,000 | $0 | (35,000) | 295,000 | 610,000 | $23,456,973 | 49.1% |
| Strategic Investments | $373,794,945 | $154,000 | $2,755,000 | $3,050,000 | 3,243,000 | 725,000 | 1,760,000 | $372,421,945 | 34.3% |
| Tactical Investments | $64,017,812 | $0 | $427,000 | $0 | 52,000 | 297,600 | 1,092,200 | $64,437,412 | 38.2% |
| Corvane Initiated Investments | $437,812,757 | $154,000 | $3,182,000 | $3,050,000 | 3,295,000 | 1,022,600 | 2,852,200 | $436,859,357 | 34.8% |

## Returns and Multiples (%)

| Investment | Qtr INC | Qtr APP | Qtr GRS | Qtr NET | Market Value |
|---|---|---|---|---|---|
| Cornerstone Core Property Fund | 0.98% | 2.19% | 3.17% | 2.87% | $55,152,948 |
| Beacon Diversified Property Trust | 0.89% | 0.40% | 1.29% | 1.09% | $44,534,756 |
| Summit Multifamily Partners | 1.12% | 0.52% | 1.64% | 1.44% | $48,428,074 |
| Whitfield Diversified Property Fund | 0.34% | -0.92% | -0.58% | -0.79% | $30,680,965 |
| Silverline Core-Plus Fund | 0.36% | -1.10% | -0.74% | -0.97% | $50,124,792 |
| Kestrel U.S. Real Estate Fund | 1.42% | 0.95% | 2.37% | 2.22% | $49,518,338 |
| Redwood Logistics Trust | 0.67% | 0.42% | 1.09% | 0.97% | $50,893,041 |
| Harborview Industrial Fund | 1.07% | 0.75% | 1.82% | 1.67% | $43,089,031 |
| Tidewater Distressed Realty Fund | -4.61% | 6.64% | 2.03% | 1.47% | $110,082 |
| Ironwood Value-Add Fund III | 1.23% | 3.90% | 5.13% | 4.81% | $10,163,914 |
| Meridian Opportunity Fund V | -0.09% | 0.31% | 0.22% | 0.31% | $30,706,443 |
| Blackford Special Situations Fund II | -0.15% | 2.61% | 2.46% | 1.20% | $23,456,973 |
| Strategic Investments | 0.87% | 0.47% | 1.35% | 1.15% | $372,421,945 |
| Tactical Investments | 0.08% | 1.71% | 1.79% | 1.33% | $64,437,412 |
| Corvane Initiated Investments | 0.76% | 0.66% | 1.41% | 1.18% | $436,859,357 |
| CPERS Custom Benchmark | | | | 0.74% | |

# Diversification and Annual Returns

## Property Type Diversification (%)

| Property Type | Apartment | Office | Industrial | Retail | Hotel | Other |
|---|---|---|---|---|---|---|
| Total Portfolio | 22.94% | 8.41% | 35.37% | 8.43% | 1.31% | 23.54% |

## Geographic Diversification (%)

| Region | Northeast | Mideast | East North Central | West North Central | Southeast | Southwest | Mountain | Pacific | Various-US | Ex-US |
|---|---|---|---|---|---|---|---|---|---|---|
| Total Portfolio | 9.85% | 13.56% | 7.43% | 2.65% | 16.68% | 8.64% | 7.74% | 17.21% | 3.78% | 12.46% |

## Annualized Net Time-Weighted Return (%)

| Investment | 1 Year | 3 Year | 5 Year |
|---|---|---|---|
| CPERS Custom Benchmark | 2.92% | -4.25% | 2.51% |
| CPERS Portfolio | 4.69% | -1.76% | 5.51% |

Fund-level Ex-US classification: 9.5% of market value. US Portfolio: 90.5%.